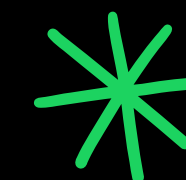
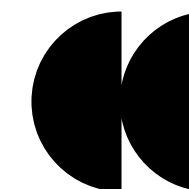


Product Presentation

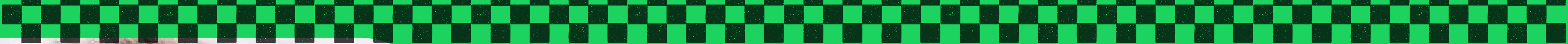
Crafting Flavor, One Bite at a Time



Presented By: **Alisher Adylkhanov**



ZIMRAN



Target Audience

Spotify effectively segments its target audience; it can be divided into two categories: C-side (cunsomers) and B-side (artists/creators) — this is two-sided marketing.



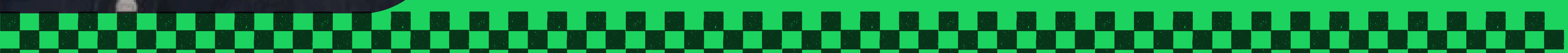
C-side(cunsomers)

From ordinary users who listen to free content with ads to audiophiles, families, students, and fans of podcasts/audiobooks.



B-side(artists/creators)

Music artists, labels, podcast creators, and audiobook narrators who use the platform as their main distribution and analytics channel (Spotify for Artists, Spotify for Podcasters).





Value Propositions

01

For users

For Users: World-class AI music recommendation algorithms, frictionless cross-device integration (Spotify Connect), offline playback, and unified audio entertainment (Music + Podcasts + Audiobooks).

02

For creators

For Creators: Direct monetization through stream royalties, audience insights, and promotional tools.

Monetizing

- Monetization Engine: Dual-model consisting of Premium Subscriptions (~87-90% of revenue) and Ad-Supported Free Tier (~10-13% of revenue).
- Pricing Structure: Freemium (\$0) alongside tiered recurring plans: Individual, Duo, Family, and Student discounts.



Conclusion Buisness model

Freemium flywheel: the free version ensures low user acquisition costs (Low CAC), while personalized recommendations and the convenience of the ecosystem convert users into Premium subscribers (High Retention).

Margin and diversification: high royalties to labels (65–70% of revenue) limit profitability, so Spotify is developing podcasts, audiobooks, and services for artists (Discovery Mode).

Product instead of advertising: minimal reliance on paid targeting — growth is driven by viral mechanics (Spotify Wrapped) and convenient cross-platform functionality (Spotify Connect).

Key Metrics

BEST and premium: The rating remains at ~39% (every third paid user), which is a very popular offer for Freemium users.

Gross profit dynamics: The growth dynamics of the gross margin (+300 b.p. y/y) is a key result of Spotify's strategy to reduce the share of music videos through sales, and the market is intended for artists (discovery mode).

Metrics	Spotify value (YoY)	Industry benchmark	Assessment & Analysis
MAU <i>(Monthly Active Users)</i>	626M (+14% YoY)	8–12% YoY (for mature services)	Great: stable expansion of the upper part of the acquisition funnel.
Premium Subscribers	246M (+12% YoY)	10–15% YoY (SaaS / Streaming)	Good: Stable conversion of free users to paid users..
ARPU <i>(Avg Revenue Per User)</i>	€4.71 (+8% YoY)	€4.50–€5.20 (Music Streaming)	Positive: The price increase was implemented without a significant outflow.
Gross Margin <i>(Валовая маржа)</i>	29.2% (+300 bps YoY)	70–80% (Software) / 25–35% (Media)	Beyond expectations: growing thanks to podcasts, audiobooks, and the advertising network.
Churn Rate <i>(Отток подписчиков)</i>	~3.9% в месяц	5%–7% (Industry average)	Excellent: Minimal churn thanks to algorithms and UX.



WHY IS SPOTIFY'S MARGIN WHAT IT IS?

Spotify is a high-scale business, but unlike pure SaaS, every stream has content-related costs. A large share of revenue goes to music royalties and other content costs, while the remaining revenue covers streaming, payment and operating costs.

In 2025, Spotify reached a 32% full-year gross margin, up from 25% in 2022. The improvement reflects better monetization, pricing, revenue mix and cost efficiency.

Key insight:

Spotify's challenge is not simply acquiring more users — it is monetizing engagement faster than content costs grow.

WRAPPED → ACQUISITION + RETENTION

Wrapped turns users' own listening data into a personalized, highly shareable experience.

Listening data → Personal story → Social sharing → Organic reach → Engagement

In 2025, Wrapped generated 300M+ engaged users and 630M+ social shares.

Metric moved: engagement, social reach and potentially acquisition/retention.

The strategic idea:

Spotify turns a product feature into a marketing channel.



HOW DOES SPOTIFY ACQUIRE USERS?

Spotify does not rely on one acquisition channel. Its growth engine combines Free access, product-led growth, partnerships, social sharing and brand campaigns.

1. FREE → MASSIVE REACH

The ad-supported Free tier removes the payment barrier and lets Spotify acquire users at scale.

2. PRODUCT-LED / ORGANIC GROWTH

Personalized recommendations and sharing features create reasons to return and share the product.

3. SOCIAL DISTRIBUTION

Wrapped turns users into a distribution channel: users share their personalized results, exposing Spotify to people outside the platform. In 2025, it generated 630M+ social shares.

4. PARTNERSHIPS & PROMOTIONS

Student, Duo and Family plans expand the addressable market by matching different willingness-to-pay levels.

DOES SPOTIFY DEPEND HEAVILY ON PAID SOCIAL ADS?

Not as its core growth mechanism.

At Spotify's scale, the product itself can generate distribution through sharing, personalization and network effects. Paid marketing can support launches and brand awareness, but Spotify's strongest advantage is turning existing user activity into new reach.

Key insight:

Spotify is not just buying attention — it is designing the product to generate attention.

FREE → PREMIUM: HOW SPOTIFY CONVERTS USERS

1. FREE TIER → HABIT

Most users start with Spotify Free. It removes the payment barrier and lets Spotify build engagement before asking users to pay.

Metric: MAU + engagement

2. PREMIUM VALUE → REMOVE FRICTION

Spotify converts engaged Free users by offering clear benefits: ad-free listening, offline listening, more control and additional Premium-only features.

Metric: Free → Premium conversion

3. TRIALS & TARGETED OFFERS → LOWER THE PRICE BARRIER

Free or discounted trials give users a low-risk way to experience Premium. Spotify states that new Premium subscribers are primarily sourced from Ad-Supported users, while trial programs are another important conversion route.

Metric: Trial → paid conversion

THE FUNNEL

FREE → ENGAGEMENT → PREMIUM VALUE → TRIAL/OFFER → PAID SUBSCRIPTION

Spotify doesn't force users to pay upfront — it first makes Spotify part of their routine, then monetizes the habit.

RETENTION: DISCOVER WEEKLY

HOW IT WORKS

Every Monday, Spotify creates a personalized 30-track playlist based on the listener's behavior and taste.

Listen → Spotify learns → Better recommendations → User returns

The playlist becomes more personalized as users interact with it — saving songs, following artists and engaging with recommendations.

WHAT METRIC DOES IT MOVE?

Primary: Engagement / return frequency

Secondary: Retention / churn

Long-term: Premium value & LTV

Spotify itself says that retention is driven by personalization, curation and product innovation, and that the company increasingly focuses on how often users return rather than simply how many minutes they listen.

T

RETENTION LOOP

PERSONALIZATION

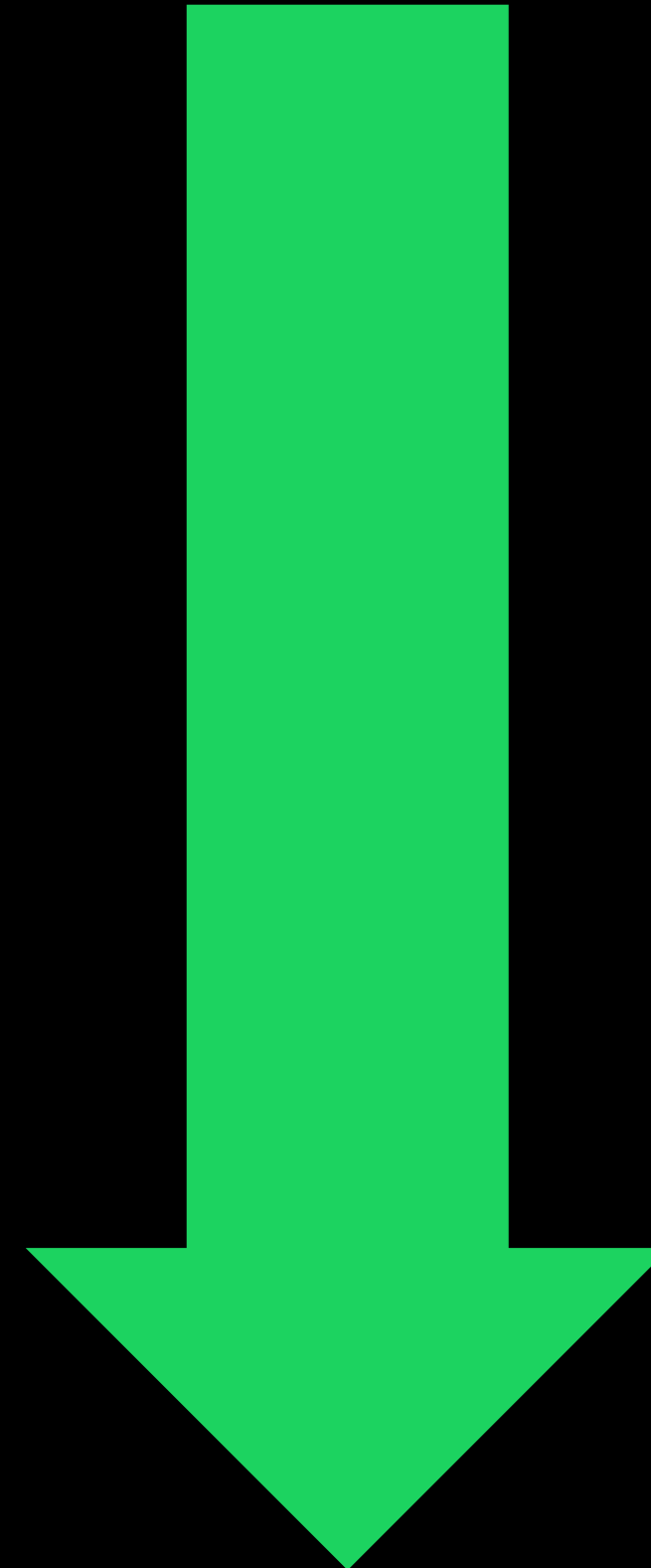
DISCOVERY

SATISFACTION

RETURN

**BETTER
PERSONALIZATION**

MORE DATA ON LOOP



The user trains the algorithm — and the algorithm gives the user a reason to come back.

WHAT MAKES SPOTIFY'S GROWTH ENGINE WORK?

01 — ACQUIRE

Free access removes the barrier to entry.

Spotify can build a massive audience before asking users to pay.

02 — ENGAGE

Personalization turns listening into a habit.

Recommendations such as Discover Weekly continuously give users a reason to return.

03 — CONVERT

Spotify monetizes an existing habit.

Premium removes friction and adds value for users who are already highly engaged.

04 — RETAIN & GROW

The product itself creates distribution.

Wrapped, sharing and personalized experiences turn existing users into a source of organic r

THE CORE INSIGHT

Spotify's advantage is not simply having millions of songs.

It is the feedback loop between users, data, personalization, habits and revenue.

Users → Data → Personalization → Habit → Premium → Revenue → More Data

BUSINESS IMPLICATION

The stronger the habit, the easier it becomes to monetize — and the more valuable the ecosystem becomes.